

GNIOT Institute of Management Studies – PGDM (Batch 2021-23)**(TRIMESTER – I) END TERM EXAMINATION, OCTOBER - 2021****FINANCIAL ACCOUNTING****[Time: 2 Hours 30 Minutes]****[Maximum Marks: 100]****INSTRUCTIONS:**

- (i) **There are THREE sections in this question paper.**
(ii) **Attempt questions from each section as per the directions.**
(iii) **Make suitable assumptions wherever necessary.**

SECTION-A**Q.1. Attempt all parts of the following:****(10×3=30)**

- (a) Explain meaning of 'Accounting'
(b) Explain 'Matching Principle' of accounting with suitable examples.
(c) Distinguish between Cash Flow Statement and Fund Flow Statement.
(d) Elucidate 'working capital'. Briefly explain types of working capital.
(e) Clarify the meaning of gross profit. How is it calculated?
(f) What do you mean by direct expenses, operating expenses and operating cost?
(g) Differentiate Capital Expenditure and Revenue Expenditure.
(h) Explain types of accounts as well as rules of debit and credit applicable to each of them.
(i) Briefly explain all the liquidity ratios
(j) What do you mean by trial balance? Why do we need to prepare trial balance?

SECTION-B**Attempt all questions of the following:****(4×10=40)**

Q.2. (a) Journalise following transactions in the books of Gaurav:
2021

- April 1 Gaurav started business with Rs.1,00,000
April 2 Bought furniture for office Rs.3,000
April 4 Purchased goods from Aniket for Rs.40,000 with trade discount @1%
April 5 Paid rent Rs.2,000
April 7 Cash purchases Rs.25,000
April 8 Sold goods to Kunal & Sons Rs.50,000
April 11 Kunal & Sons returned goods worth Rs.500
April 12 Deposited cash into bank Rs.20,000
April 22 Paid to Aniket Rs.39,500 in full settlement of account
April 30 Interest received Rs.2,400

OR**(b)** Explain the following terms with relevant examples

- (i) Assets (ii) Liabilities (iii) Capital Employed (iv) Shareholders Funds (v) Debtors
(vi) Creditors (vii) Goods (viii) Tangible Assets (ix) Intangible Assets (x) Drawings

Q.3. (a) Balance Sheet of PQR as at 31st March, 2021

LIABILITIES		Amount(Rs.)	ASSETS		Amount(Rs.)
Capital		35,00,000	Fixed Assets		47,50,000
Profit & Loss		22,50,000	Long Term Investment		9,00,000
General Reserve		50,000	Inventories		13,50,000
Long Term Borrowings		10,00,000	Trade Receivables		12,25,000
Trade Payables		12,50,000	Cash & Cash Equivalents		4,35,000
Overdraft		5,50,000			
Other Current Liabilities		60,000			0
Total		<u>86,60,000</u>	Total		<u>86,60,000</u>

You are approached by a retail investor to analyse the above balance sheet of PQR with a view to check its solvency both in terms of short and long term. So, to help the investor you have to calculate Current Ratio, Liquid Ratio, Debt-Equity Ratio, Assets to Debt Ratio and Proprietary Ratio.

OR

(b) On the basis of information given below, calculate:

- (i) Gross Profit Ratio,
- (ii) Inventory Turnover Ratio
- (iii) Working Capital Turnover Ratio

Information:

Net Sales Rs.7,87,500; Cost of goods sold Rs.3,95,600; Current Liabilities Rs.2,37,000;
Current Assets Rs.3,99,000 and Average Inventory Rs.1,97,800

Q.4.(a) Sohan commenced business of manufacturing and selling laminated paper bags on 1st April, 2021 with cash Rs.10,000. During the month of April his other transactions were as under:

- April 5 Goods bought for Rs.2,000
- April 10 Cash sales Rs.2,500
- April 15 Opened a bank account with SBI Rs.5,000
- April 18 Purchased a typewriter for Rs.200
- April 25 Money withdrawn from bank for office use Rs.1,000
- April 30 Cash used to pay personal expenses Rs.500

You are required to prepare Two Column (Cash and Bank Column) Cash Book

OR

(b) Identify whether the following expenditure will be of capital or revenue nature. Justify your answer with reason.

- (i) Freight paid on purchase of raw material
- (ii) Carriage on purchase of machine
- (iii) Installation charges of machine
- (iv) Depreciation charged on machine
- (v) Expenditure incurred in erecting a platform on which a machine will be fixed.

Q.5. (a) Prepare a Trial Balance from the following ledger account balances:

Sundry Creditors Rs.19,000; Building Rs.15,000; Cash at Bank Rs.18,225; Sundry Expenses Rs.1990; Bank Interest (Cr.) Rs.75; Purchases Rs.1,57,000; Wages Rs.10,000; Carriage Inward Rs.1120; Sales Rs.1,85,000; Motor Van Rs.12,500; Cash in hand Rs.335; Bad Debts Rs.100; Loan from Ram Rs.2,500; Sundry Debtors Rs.9,500; Investments Rs.6,500; Provision for doubtful debts Rs.1,600; Rent Rs.850; Furniture Rs.3,000; Opening Stock Rs.27,350; Capital Rs.47,390; Discount Allowed Rs.630; Discount Received Rs.535; Drawings Rs.2,000; Bills Payable Rs.10,000

OR

(b) The following trial balance was prepared by an untrained accountant. You are required to examine and correct it.

Particulars	Debit (Rs.)	Particulars	Credit (Rs.)
Purchases	8,990	Capital	7,670
Cash at Bank	885	Sales	11,060
Fixtures & Fittings	225	Cash in hand	30
Freehold Premises	1,500	Bills Receivable	825
Lighting & Heating	65	Return Inward	30
Salaries	1,075	Creditors	1,890
Debtors	5,700	Discount Allowed	200
Opening Stock	3,000		
Printing & Stationery	225		
Bills Payable	1,875		
Rent, Taxes & Insurance	190		
Discount Received	445		
<i>Total</i>	<u>24,175</u>		<u>21,705</u>

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

- 6(a)** From the following Trial Balance and additional information, prepare Trading and Profit & Loss Account for the year ended 31st March, 2021 and a Balance Sheet as on that date:

	Debit (Rs.)	Credit (Rs.)
Capital		1,00,000
Furniture	20,000	
Purchases	1,50,000	
Debtors	2,00,000	
Interest earned		4,000
Salaries	30,000	
Sales		3,21,000
Purchase Returns		5,000
Wages	20,000	
Rent	15,000	
Sales Return	10,000	
Bad Debts written off	7,000	
Creditors		1,28,000
Drawings	24,000	
Printing & Stationery	8,000	
Insurance	12,000	
Opening stock	50,000	
Office expenses	12,000	0
TOTAL	5,58,000	5,58,000

Additional Information:

- (1) Stock as on 31st March, 2021 was Rs.60,000
- (2) Insurance amounting to Rs.2,000 is prepaid.
- (3) Provide for outstanding office expenses Rs.8,000
- (4) Depreciate furniture by 10%
- (5) Bad debts be written off Rs.1,000

6(b)	Balance Sheet of XYZ Ltd		
	Particulars	31 st March, 2021 (Rs.)	31 st March, 2020 (Rs.)
I.	EQUITY & LIABILITIES		
	Shareholders' Funds:		
	Share Capital	2,00,000	2,00,000
	Profit & Loss	98,000	96,000
	General Reserve	40,000	-
	Non-Current Liabilities:		
	Loan from Bank	50,000	60,000
	Current Liabilities:		
	Trade Payables	82,000	72,000
	Total	<u>4,70,000</u>	<u>4,28,000</u>
II.	ASSETS		
	Non-Current Assets:		
	Land	60,000	40,000
	Building	1,10,000	1,00,000
	Machinery	1,72,000	1,60,000
	Current Assets:		
	Inventories	44,000	50,000
	Trade Receivables	76,800	70,000
	Cash & Cash Equivalents	7,200	8,000
	Total	<u>4,70,000</u>	<u>4,28,000</u>

Additional Information:

- 1) Interim dividend paid during the year ended 31st March, 2021 is Rs.52,000
- 2) Tax paid for the current year is Rs.5,000
- 3) Depreciation charged on machinery for the current year is Rs.18,000

You are asked to prepare Cash Flow Statement of XYZ Ltd ssas per AS – 3 (Revised)